

A common way to diversify U.S. stock market exposure other than with bonds is to hold foreign stocks. International mutual funds have been available to U.S. investors since the 1960s, and international diversification started to catch on among U.S. institutional investors beginning in the 1970s.⁸

From 1900 through 2012, the annual risk premium of U.S. stocks over Treasury bills averaged 6.5%. For 18 non-U.S. markets, it averaged 4.5%.⁹ Long-run returns of U.S. stocks have been substantially better than the returns of non-U.S. stocks. Correlations between U.S. and non-U.S. stocks have risen in recent years. The average 12-month correlation between the S&P 500 and the MSCI EAFE from 1971 through 1999 was 0.42. Since then, it has averaged 0.83. Looking at the 50 largest U.S. companies, the median firm now conducts 57% of its business outside the United States. The diversification value of U.S. and foreign equities has definitely diminished. However, given the way different markets come in and out of favor, non-U.S. stocks may still add value to a portfolio based on relative strength momentum. This is why we include them in our dual momentum portfolio.

EMERGING MARKETS

In the quest for additional diversification and higher possible returns, some investors utilize emerging market equities and treat them as a separate asset class. There are, however, additional risks associated with emerging markets. They have less than 30 years of price history, are sometimes thin and illiquid, and are more expensive to trade and to manage. Accounting methods in developing countries are also not always up to the standards used in developed countries.

Because emerging markets can suffer sharp and rapid price declines, you often see them aggregated into baskets that trade as a group. This stems from the belief that diversification among emerging markets will reduce their risk. However, baskets of emerging market stocks create contagion risk, causing them to trade together as a whole. Aggregation and contagion can also amplify liquidity risk. During the Russian debt crisis, emerging markets as far away as Singapore suffered major capital outflows and extreme price volatility.